

SECTION 7: DEMAND AND SUPPLY (II)

7.1 ELASTICITIES OF DEMAND & SUPPLY

Multiple Choice Questions

1990/CE/II/05

Suppose there is a good harvest of apples this year. Under which of the following conditions will apple growers earn more income?

- A. They sell more apples.
- B. The demand for apples is elastic.
- C. The supply of apples is inelastic.
- D. The government fixes a minimum price on apples.

1990/CE/II/26

After the launching of an advertising campaign, both the price and the quantity sold of a product increase. Which of the following statements can explain this?

- A. The demand for the product is inelastic.
- B. The supply of the product is elastic.
- C. The demand for the product increases.
- D. The supply of the product decreases.

1991/CE/II/19

Price	Quantity Demanded (units)	Total Revenue
\$2	10	\$20
\$4	6	\$24
\$6	4	\$24
\$8	3	\$24
\$10	1	\$10

The elasticity of demand is unitary over the price range from

- A. \$2 to \$6
- B. \$2 to \$8
- C. \$4 to \$8
- D. \$4 to \$10

1991/CE/II/23

When demand increase, which of the following would cause a greater rise in price?

- A. There is a large unsold stock of the good.
- B. It is easy to enter the industry.
- C. The factors of production have a low mobility.
- D. There is excess capacity in production.

1991/CE/II/57

Which of the following would NOT lead to an increase in the total revenue from the sale of a product?

- A. an increase in its demand
- B. an increase in its selling price
- C. a decrease in its demand
- D. a decrease in its selling price

1992/CE/II/28

Suppose the demand for wheat is elastic. Which of the following will decrease if there is a poor harvest of wheat?

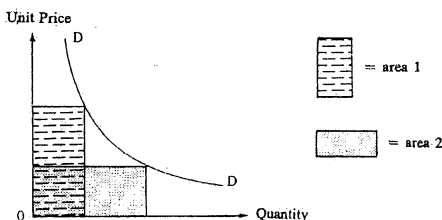
- (1) the price of wheat
 - (2) the total expenditure on wheat
 - (3) the demand for wheat
 - (4) the quantity of wheat transacted
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (4) only
 - D. (3) and (4) only

1993/CE/II/20

From 1990 to 1991, even though the price of private flats increased rapidly more flats were sold than in the previous year. Which of the following reasons can explain this?

- A. The demand for private flats did not obey the law of demand.
- B. The demand for private flats was inelastic.
- C. There was an increase in the supply of public housing.
- D. There was a change in the demand for private flats.

1993/CE/II/25



If the demand is unitarily elastic along the above curve DD, then area 1 _____ area 2.

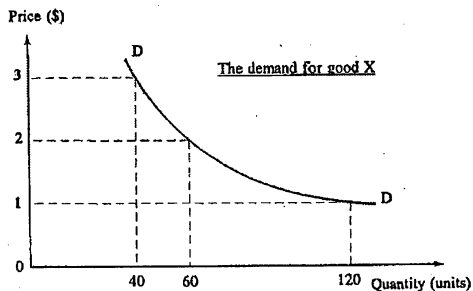
- A. is equal to
- B. is greater than
- C. is smaller than
- D. may be greater or smaller than

1993/CE/II/28

In a period of rainy weather, the price of umbrellas increased by 10% while the quantity transacted increased by 15%. What is the price elasticity of demand/supply of umbrellas in the above situation?

- A. The demand is elastic
- B. The demand is inelastic
- C. The supply is elastic
- D. The supply is inelastic

1995/CE/II/07



The demand for good X is

- A. elastic.
- B. unitary elastic.
- C. perfectly elastic.
- D. inelastic.

1996/CE/II/10

Research shows that changes in bus fares will not affect the number of passengers who travel before 9 a.m. but will affect the number of passengers who travel after 9 a.m. which changes by a greater percentage than the percentage change in bus fares. In order to obtain the largest revenue, the bus company should

- A. increase the fare before and after 9 a.m.
- B. not change the fares before 9 a.m. but reduce the fares after 9 a.m.
- C. increase the fares before 9 a.m. but reduce the fares after 9 a.m.
- D. not change the fares before 9 a.m. but increase the fares after 9 a.m.

1997/CE/II/08

If there is a poor harvest of rice in Thailand, the total expenditure on Thai rice in Hong Kong

- A. would increase because of a price rise.
- B. would decrease because of the availability of substitutes.
- C. would be more or less the same because of the availability of substitutes.
- D. may increase or decrease, depending on the price elasticity of demand of Thai rice.

1997/CE/II/09

The price elasticity of demand for the Hung Hom Cross-Harbour Tunnel service would decrease if

- A. the tunnel fee is raised from \$10 to \$30.
- B. the Western Harbour Crossing is open.
- C. the Eastern Harbour Crossing is closed for maintenance work.
- D. a new hydrofoil service is provided between Tsuen Wan and Wan Chai.

1997/CE/II/10

Support the MTR fares on short-distance journeys (X) and cross-harbour journeys (Y) are raised by 6.9% and 13.6% respectively. If the quantity demanded for X and Y falls by 8% and 3.5% respectively, which of the following is correct?

- A. Both the demand for X and Y are elastic.
- B. Both the demand for X and Y are inelastic.
- C. The demand for X is less elastic than the demand for Y.
- D. The demand for X is more elastic than the demand for Y.

1998/CE/II/06

Suppose the unit price of good X increases from \$2 to \$2.8 and its quantity demanded changes by 20%. Which of the following statements is correct?

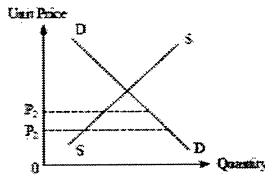
- A. The increase in price leads to more than proportionate decrease in the quantity demanded of good X.
- B. The increase in price leads to an increase in the total revenue of good X.
- C. The elasticity of demand for good X is 0.4.
- D. The change in the quantity demanded is less than the change in the price of good X.

1998/CE/II/07

When the supply of a commodity increases, its price may rise if

- A. The demand for it is perfectly inelastic.
- B. The demand for it is perfectly elastic.
- C. The price of its complement decreases.
- D. The price of its substitute decreases.

2000/CE/II/03



In the above diagram, when the price P_1 increases to P_2 ,

- A. the excess demand will disappear.
- B. the quantity transacted will decrease.
- C. the total revenue will necessarily increase.
- D. the total revenue will increase only if the demand is inelastic.

2000/CE/II/05

It became more difficult to find a metered car parking space by the roadside after the fee for a parking space was reduced from \$4 to \$2 for every 15 minutes. It was also reported that the fee in a car park remained at \$15 per hour.

Which of the following about the effect on metered car parking by the roadside is correct?

- A. It can be explained by the law of demand.
- B. It is an increase in demand.
- C. The equilibrium quantity decreases.
- D. The demand is elastic.

2000/CE/II/10

The demand elasticity of good X is 1.2. After a decrease in supply, the equilibrium quantity drops by 30%. The equilibrium price would _____ by _____.

- A. increase 25%
- B. decrease 25%
- C. increase 36%
- D. decrease 36%

2002/CE/II/08

After a good harvest, the price of choi-sum has changed by 50% and the quantity transacted has changed by 40%. Which of the following statements is/are correct?

- (1) The quantity demanded of choi-sum has increased.
 - (2) The demand for choi-sum has increased.
 - (3) The total revenue from selling choi-sum has increased.
- A. (1) only
B. (1) and (2) only
C. (2) and (3) only
D. (1), (2) and (3)

2002/CE/II/10

Suppose there is a technological advance in the production of a normal good. In which of the following situations may the market price of the good remain unchanged?

- A. The income of consumers decreases.
B. The government raises the unit sales tax on the good.
C. The demand for the good is perfectly inelastic.
D. The supply of the good is perfectly inelastic.

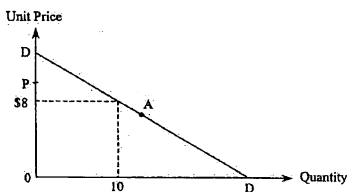
2003/CE/II/05

Which of the following would increase the elasticity of demand of the transport service of the Mass Transit Railway (MTR)?

- A. the cutting of bus lines running routes similar to those of the MTR
B. a decrease in MTR passenger fares
C. the opening of new lines of the Kowloon-Canton Railway running routes similar to those of the MTR
D. a decrease in the operating costs of the MTR

2003/CE/II/07

Refer to the following straight line demand curve DD.



Point A is the mid-point of the demand curve DD. If the unit price increases from \$8 to P, the total revenue

- A. will be greater than \$80.
B. will be equal to \$80.
C. will be smaller than \$80.
D. may be greater or smaller than \$80.

2003/CE/II/09

The government has imposed a fee for using the emergency services provided by public hospitals. As a result, patients' total expenditure on private medical services

- A. will decrease.
- B. will increase.
- C. will remain unchanged.
- D. may increase or decrease.

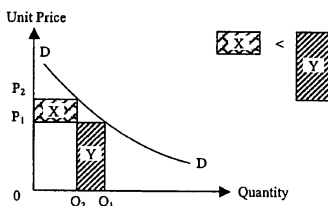
2003/CE/II/13

A market researcher reports to the manager of a company, "Even if we cut prices to boost sales, the sales revenue will remain unchanged because of the elasticity of demand of our product."

According to the market researcher, their product's elasticity of demand is

- A. perfectly inelastic.
- B. inelastic.
- C. elastic.
- D. unitarily elastic.

2004/CE/II/09



In the above diagram, DD is a demand curve. In the price range P_1 to P_2 , the elasticity of demand

- A. is less than 1.
- B. is equal to 1.
- C. is greater than 1.
- D. may be less than or greater than 1, depending on the exact values of P_1 , P_2 , Q_1 and Q_2 .

2005/CE/II/12

The table below shows the relationship between the price of Good X and its total sales revenue.

Price (\$)	1	2	3
Total sales revenue (\$)	100	200	300

Within the above price range, the elasticity of demand of Good X is

- A. equal to zero.
- B. greater than zero and smaller than one.
- C. equal to one.
- D. greater than one.

2006/CE/II/09

Fearing an outbreak of bird flu, people tend to consume less live poultry but more canned food. As a result, the price of the canned food of a particular brand changed by 50% and its quantity transacted rose from 1 000 cans to 1 350 cans per month. We can conclude that within the above price range this canned food had

- A. an elastic demand.
- B. an inelastic demand.
- C. an elastic supply.
- D. an inelastic supply.

2007/CE/II/09

The table below shows the relationship between the price of Good X and its sales revenue.

Price (\$)	10	20	30
Sales revenue (\$)	1 000	1 500	2 000

Within the above price range, the elasticity of demand for Good X is

- A. equal to zero.
- B. greater than zero and smaller than one.
- C. equal to one.
- D. greater than one.

2007/CE/II/11

The imposition of a per unit sales tax on a good will reduce its equilibrium quantity if

- A. the demand is inelastic.
- B. the demand is elastic.
- C. the demand is unitarily elastic.
- D. All of the above are correct.

2008/CE/II/06

Recently the stock market in Shanghai has become overheated. Compared with last year, the selling price of a financial magazine has increased from RMB¥5 to RMB¥8 while its sales volume has increased by 10%.

In the above case,

- A. the law of demand is violated.
- B. the demand curve of the magazine can still be downward sloping.
- C. the demand for the magazine is inelastic.
- D. the supply of the magazine is elastic.

2008/CE/II/10

With the introduction of high definition television (HD TV) broadcasting in Hong Kong, more people have chosen to buy an HD TV set. Under what condition will the market price of HD TV sets remain unchanged?

- A. The income of consumers increases.
- B. The government grants a cash subsidy to lower income groups to buy HD TV sets.
- C. The demand for HD TV sets is perfectly inelastic.
- D. The supply of HD TV sets is perfectly elastic.

2009/CE/II/09

Mr Chan travels frequently between Hong Kong and Beijing on business trips. Last year, even though the price of air-tickets increased by 50%, Mr Chan's total expenditure on these air-tickets remained unchanged. If Mr Chan's demand for these air-tickets last year remained the same as the previous year, his demand for these air-tickets last year would have been

- A. perfectly inelastic.
- B. inelastic.
- C. unitarily elastic.
- D. elastic.

2009/CE/II/10

Suppose with the more popular use of iPods (portable media players), the price of the traditional MP3 players has fallen by 40% and the quantity sold has changed by 50%.

This would indicate that within that price range, there was an _____ for the traditional MP3 player.

- A. elastic demand
- B. inelastic demand
- C. elastic supply
- D. inelastic supply

2010/CE/II/07

Most Hong Kong people use either town gas or electricity for cooking. Suppose there is a drastic increase in electricity charges. Consumers' expenditure on electricity consumption _____ but their expenditure on town gas consumption _____.

- A. will decrease will increase
- B. will increase may increase or decrease
- C. may remain unchanged will decrease
- D. may increase or decrease will increase

2010/CE/II/09

The demand elasticity of Good X is equal to one. Which of the following is a correct description of Good X ?

- A. An increase in its price will not affect the quantity demanded.
- B. An increase in the price of its substitute will not affect the quantity demanded.
- C. The imposition of a per unit sales tax on it will not affect consumers' expenditure on it.
- D. A per unit subsidy offered by the government will not affect the total revenue (including the subsidy) of the sellers.

2010/CE/II/10

Suppose an increase in the demand for Good Y results in a 10% and 5% change in its price and quantity transacted respectively. Which of the following could explain the extent of the change in the price and the quantity transacted?

- A. The good is a habit-forming good.
- B. There are no close substitutes for the good.
- C. Firms producing the good have excess capacity in production.
- D. Firms producing the good have used factor inputs which are more specialized.

2012/DSE/I/11

Michelle is a jewelry lover and she says, "I will spend all my monthly salary on jewelry no matter what the price is." From this we can conclude that her demand for jewelry is

- A. elastic.
- B. inelastic.
- C. unitarily elastic.
- D. perfectly inelastic.

2012/DSE/I/12

Owing to continuous bad weather, the quantity transacted of local vegetables falls by 40% while the price rises by 13%. Which of the following statements are correct?

- (1) The quantity demanded of local vegetables falls.
 - (2) The total expenditure on local vegetables rises.
 - (3) The demand for imported vegetables rises.
 - (4) The total expenditure on imported vegetables may rise or fall depending on the elasticity of demand.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (4) only
 - D. (3) and (4) only

2014/DSE/I/13

Which of the following would reduce the elasticity of demand for the transport service of the Airport Express?

- A. There are more airport bus routes to different districts.
- B. Vans are not allowed to pick up passengers at the airport.
- C. The fare of the Airport Express is raised.
- D. The maintenance cost of the Airport Express trains increases.

2015/DSE/I/11

The table below shows the relationship between the price of and the total expenditure on ice-cream.

Unit price (\$)	5	6	7	8
Total expenditure (\$)	25	30	35	40

From the above table, we can conclude that the elasticity of demand for ice-cream is _____ (without regard to its negative sign)

- A. between zero and one
- B. equal to zero
- C. larger than one
- D. equal to one

2016/DSE/I/15

A decrease in the cost of producing Good X results in a 5% and 10% change in its price and quantity transacted respectively. Which of the following best explains the above changes?

- A. Good X is a durable good.
- B. There are no close substitutes for Good X.
- C. Firms producing Good X have excess capacity in production.
- D. The factors of production for Good X are not easily available.

2017/DSE/I/15

Refer to the following conversation between Mandy and Shirley.

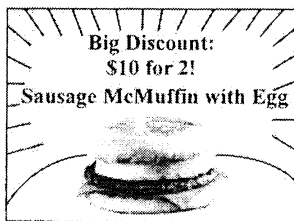
- Mandy: I like coffee very much! No matter how its price changes, I always buy the same amount of coffee every week!
- Shirley: I like coffee very much too! No matter how its price changes, I always spend the same amount of money on coffee every week!

Based on their conversation, Mandy's demand for coffee is _____ and Shirley's demand for coffee is _____

- A. perfectly inelastic perfectly inelastic
- B. perfectly inelastic unitarily elastic
- C. unitarily elastic perfectly inelastic
- D. unitarily elastic unitarily elastic

2018/DSE/I/17

The original price of Sausage McMuffin with Egg was \$11 each. McDonald's introduced the following discount in a limited time.



As a result, more people bought Sausage McMuffin with Egg during the promotion period. Which of the following statements about this situation is correct?

- A. McDonald's was not maximising profit during the promotion period.
- B. The demand for Sausage McMuffin with Egg would be higher during the promotion period.
- C. The total expenditure of consumers on Sausage McMuffin with Egg would increase if the demand was elastic.
- D. There would be a temporary shortage of the food ingredients for making Sausage McMuffin with Egg.

2019/DSE/I/11

Study the following news abstract.

A Dengue fever (登革熱) scare has hit Hong Kong after 19 people in the past week were confirmed to have contracted the virus locally. Dengue fever is transmitted to humans by Aedes albopictus (白紋伊蚊), a type of mosquito commonly found in Hong Kong.

Suppose the price and the quantity of mosquito repellents sold in Hong Kong changed by 5% and 120% respectively shortly after the release of the above news. This indicates that during that period and within the price range, there was an _____ the mosquito repellents in Hong Kong.

- A. elastic supply of
- B. inelastic supply of
- C. elastic demand for
- D. inelastic demand for

2020/DSE/I/11

When the price of Australia's red wine decreases from \$70 to \$50, the quantity demanded increases from 100 units to 122 units. What is the arc elasticity of demand for Australia's red wine within the above price range?

- A. 0.59
- B. 0.77
- C. 1.30
- D. 1.68

DSE/2022/I/12

The following table shows the total expenditure of Mary and Peter on soft drinks.

Unit price (\$)	Consumer's total expenditure (\$)	
	Mary	Peter
1	20	60
2	40	60
3	60	60
4	80	60

Mary's elasticity of demand for soft drinks is _____ while Peter's elasticity of demand for soft drinks is _____ (without regard to the negative sign).

- A. between zero and one.....equal to zero
- B. between zero and one.....equal to one
- C. equal to zero.....equal to zero
- D. equal to zero.....equal to one

DSE/2023/I/13

Semiconductor chips are key components for producing smartphones,

Due to a global shortage of semiconductor chips, the quantity of smartphones sold has changed by 10% whereas the price of smartphones has increased by 20%. Which of the following best explains the above changes in the price and quantity sold of smartphones?

- A. Smartphones have no close substitutes.
- B. Smartphone manufacturers have excess capacity in production.
- C. Consumers' expenditure on smartphones takes up a large proportion of their total expenditure.
- D. The workers for producing smartphones cannot be easily recruited.

DSE/2023/I/14

Suppose the demand curve of face masks is a downward-sloping straight line. When the price of face masks falls from \$5 to \$4, consumers' total expenditure on face masks remains unchanged. If the price of face masks falls further from \$4 to \$3, consumers' total expenditure on face masks

- A. will increase.
- B. will decrease.
- C. will remain unchanged.
- D. may increase, decrease or remain unchanged.

DSE/2023/I/15

The initial equilibrium price of pineapples is \$5. Suppose the government imposes a per unit tax of \$4 on pineapples. If the elasticity of demand for pineapples is _____ than their elasticity of supply, the new equilibrium price can be _____.

- (1) higher.....\$6
 - (2) higher.....\$8
 - (3) lower.....\$7
 - (4) lower.....\$8
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

2024/DSE/I/13

Suppose the government of an economy subsidises the manufacturing of air purifiers. As a result, the price of air purifiers decreases from \$1 200 to \$1 000 and the quantity transacted increases from 5 000 to 8 000 units. This indicates that within the price range, the price elasticity (in absolute value) of _____ is _____.

- A. demand.....greater than 1
- B. demand.....smaller than 1
- C. supply.....greater than 1
- D. supply.....smaller than 1

2024/DSE/I/14

When the per-unit sales tax on Good X is halved, the government's tax revenue from Good X is also halved. One possible explanation is that _____.

- A. the supply of Good X is perfectly elastic
- B. the supply of Good X is perfectly inelastic
- C. the demand for Good X is perfectly elastic
- D. the demand for Good X is unitarily elastic

2025/DSE/I/15

Which of the following will lower Hong Kong households' price elasticity of demand for foreign domestic helpers?

- A. More Hong Kong people are trained to work as part-time domestic helpers.
- B. Fewer child care centres are provided in Hong Kong for parents who both work.
- C. The Hong Kong Government reduces the quota of foreign domestic helpers.
- D. The wage rate of foreign domestic helpers in Hong Kong increases.

2025/DSE/I/42

Suppose Country X and Country Y both allocate half of their resources in producing clothing and half in producing toys. Their total output is shown below.

	Clothing (units)	Toys (units)
Country X	5	25
Country Y	20	10

Based on the above information, which of the following is/are correct?

- (1) Country Y enjoys an absolute advantage in producing clothing.
 - (2) Country Y enjoys a comparative advantage in producing clothing.
 - (3) If the transportation cost for importing each unit of clothing is 4 units of toys, mutually beneficial trade is still possible between the two countries.
- A. (1) only
B. (2) only
C. (1) and (3) only
D. (2) and (3) only

Short & Structured Questions

1992/CE/I/1(d)

In Hong Kong, the number of urban taxi licences issued by the government is fixed.

- (i) Draw a supply curve to illustrate this situation (2 marks)
- (ii) Suppose the government decides to issue more urban taxi licences. With the aid of a supply and demand diagram, explain
 - (I) how the market price of an urban taxi licence will be affected, and
 - (II) why the total market value of all urban taxi licences in Hong Kong might increase. (10 marks)

1993/CE/I/1(a)

'Yummy Yummy' is a fast food shop. In a promotion campaign, the shop reduced its selling price of a hamburger from \$4.2 to \$3.5. Later it was learnt that the total expenditure of customers on hamburgers increased despite the price cut. With the aid of a diagram, explain this phenomenon in terms of the price elasticity of demand. (7 marks)

1994/CE/I/11(b)

Suppose a typhoon destroys a large quantity of vegetables of Country A. However, the total revenue from the sale of vegetables increases. With the aid of a diagram, explain this phenomenon in terms of the price elasticity of demand. (7 marks)

1996/CE/I/11(a)

Newspapers in Hong Kong entered into a price war at the end of 1995. The following is a conversation between two managers of a newspaper.

General manager: *'A price-cut will reduce our newspaper's total sales revenue.'*

Sales manager: *'Even if we do not cut our price, the total sales revenue will still decrease when others cut theirs.'*

Explain the argument behind **EACH** of the above statements with the aid of a separate diagram. (11 marks)

1997/CE/I/11(c)

Suppose there is a drastic increase in sewage charges which affects the total revenue of local restaurants. With the aid of a diagram, explain the condition under which the total revenue would decrease. (8 marks)

2000/CE/I/11(b)

With the aid of a diagram, explain the condition under which a large emigration of Country A's workers to Country B would lead to a decrease in the total income of all workers (including those immigrants) in Country B. (8 marks)

2001/CE/I/2

Suppose the postage charge of a country is fixed. When e-commerce and e-mail becomes popular, the revenue of the country's Post Office from the postage charge falls sharply.

- (a) Indicate in a diagram the decrease in the postage charge revenue of the Post Office.
- (b) In order to compensate for the decrease in revenue, the Post Office increases its postage charge. Indicate in the diagram in (a) the change in revenue of the Post Office due to the increase in postage charge. (5 marks)

2003/CE/I/9(a)

Deflation has occurred in Hong Kong since 1998.

A government official has said, 'Deflation in Hong Kong would stimulate its exports.'

With the aid of a diagram, explain under what condition would deflation increase Hong Kong's total export value (in terms of the Hong Kong dollar). (7 marks)

2005/CE/I/9

The Western Harbour Crossing (俗稱西隧) has no traffic congestion problem. In July 2004, its tolls increased (except for taxis).

- (a) With the aid of a diagram, explain under what condition an increase in the tolls would increase the sales revenue of the tunnel company. (6 marks)
- (b) (i) The traffic using the Cross Harbour Tunnel (俗稱紅隧) is congested during the rush hours.

While the tolls of the Western Harbour Crossing increases, the tolls of the Cross Harbour Tunnel remains unchanged. With the aid of a diagram, explain why in this situation, the traffic using the Cross Harbour Tunnel during the rush hours would become more congested. (6 marks)

2009/CE/I/9(b)

In recent years, the price of textbooks has become a public concern.

The price of paper has increased sharply in recent years. With the aid of a diagram, explain under what condition publishers' total revenue from the sale of textbooks would increase. (8 marks)

2013/DSE/I/9(a)

The following is an extract from a local newspaper article.

The MTR corporation raised the railway fares by 5.4% in 2012. This increase was based on the Fare Adjustment Mechanism set by the government. To respond to the discontent of the public over the fare increase, the Corporation introduced a concessionary measure "Ride 10 Get 1 Free".

With the aid of a diagram, explain under what condition the total expenditure of passengers on the MTR will increase because of the rise in fare. (5 marks)

2015/DSE/I/11(c)

Tobacco duty is an indirect tax in Hong Kong. The Financial Secretary has increased the tobacco duty rate with the aim of discouraging smoking.

An economist stated, "Other thing being constant, the rise in the tobacco duty rate would not effectively reduce the quantity consumed of duty-paid cigarettes." Justify his statement **WITHOUT** using a diagram. (4 marks)

2017/DSE/I/10(c)

MTR Corporation Limited (stock code: 66) provides railway services in Hong Kong.

Table 1: Business information about the local services of MTR

Year	Fare Adjustment Rate	Total Passengers Boarding (In million)	Total Revenue (HK\$ million)
2012	+5.4%	1 431	14 523
2013	+2.7%	1 475	15 166
2014	+3.6%	1 548	16 223

Based on Table 1, can we conclude that 'the increase in total revenue is a result of inelastic demand for the local services of MTR'? Explain your answer with the aid of a diagram. (7 marks)

2018/DSE/I/5(a)

During peak flu seasons, there is not enough medical staff in public hospitals in Hong Kong.

An economist stated, 'Even if the government sharply increases the wage rates of the medical staff, it is still difficult to relieve the problem' Justify his statement using the concept of elasticity of supply / demand. (3 marks)

2022/DSE/II/4a

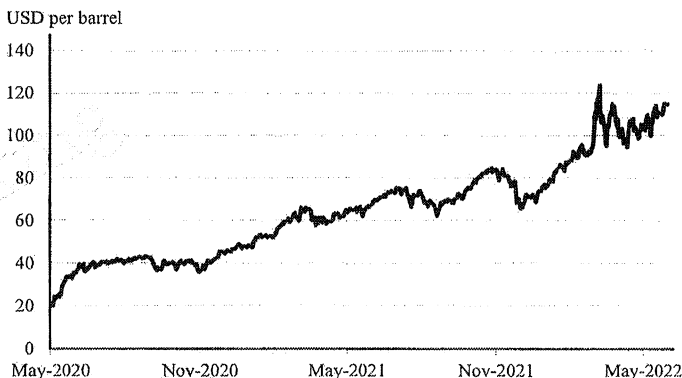
Country B and Country C are two large open economies. Facing a huge visible trade deficit, Country B imposes a per-unit tariff on goods imported from Country C. Suppose Country B's demand for goods imported from Country C is elastic.

- (a) With the aid of Figure 1, explain how the tariff would affect the total expenditure of Country B on goods imported from Country C. (6 marks)

2023/DSE/II/12a(ii)

Inflation is a concern in the US. Different causes of inflation have been suggested, including rising crude oil prices, expansionary monetary policy, and high import tariffs.

Source A: Prices of crude oil from May 2020 to May 2022



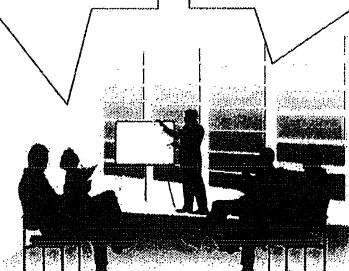
Source B: Some views about energy prices expressed by participants in a forum

A representative of manufacturers:

Changes in crude oil prices affect us a lot. Many of our products such as gasoline and plastics are made from crude oil.

A typical US citizen:

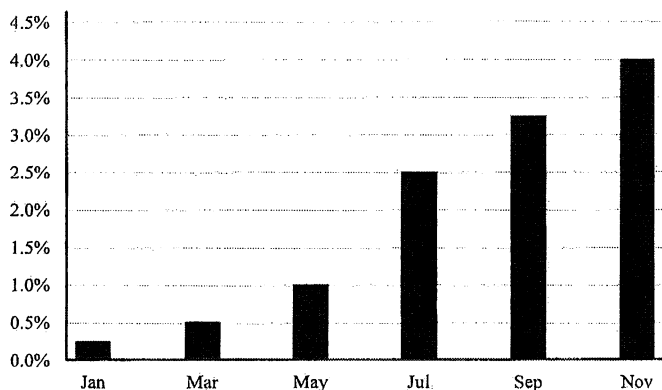
We need gasoline for our daily routines such as driving to work. Although we try very hard to reduce gasoline consumption, our bills for gasoline are still getting higher and higher.



Source C: Money supply in the US

	May 2020	May 2021
Money supply (USD Billion)	17766.9	20 319.6

Source D: Discount rate of the Federal Reserve* of the US from January to November 2022



* Federal Reserve is the central bank of the US.

Source E: Some comments on the US tariffs on Chinese imports

A US producer 	We can no longer bear the costs of tariffs on raw materials imported from China without increasing our product prices.
An economist 	The tariffs cause the prices of imported consumer goods from China to rise. This puts a greater burden on low-income households than on high-income households.

(a) Refer to Sources A and B,

- (i) Explain how the change in crude oil prices shown in Source A affects gasoline prices. (3 marks)
- (ii) With reference to your answer in (a)(i), explain why consumers' total expenditure on gasoline would increase. (3 marks)

Short & Structured Questions

2024/DSE/II/10(c)

The government of City B actively promotes the development of tourism industry.

Suppose some airlines in City B hold promotion campaigns that a total of 20 000 flight tickets to City B are given out for free.

Following the promotion effort of the government, many people travel to City B. As a result, flight ticket price is doubled, while the quantity transacted of flight tickets changes by 50%.

- (c) Based on the above information, what can we conclude about the price elasticity of demand and/or supply of flight tickets? Explain. (3 marks)

2025/DSE/II/7

The table below shows the labour requirement for producing toys and computers in Country A and Country B.

	1 unit of toys	1 unit of computers
Country A	5 man-hours	3 man-hours
Country B	4 man-hours	4 man-hours

- (a) State the principle of comparative advantage. (2 marks)
- (b) According to the principle of comparative advantage, which country would export computers when the two countries trade with each other? Explain your answer. (3 marks)